



MARKET MONITOR

No. 56 – March 2018

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Roundup

Despite some downward adjustments to wheat and soybean production forecasts, supply prospects for all AMIS crops remain largely favourable. Maize and rice markets are expected to be particularly well supplied, with stocks projected to end the 2017/18 season above their record opening levels. Recent gains in international prices of maize, soybean and wheat can be attributed to robust trade as well as unfavourable weather conditions in Argentina and the southern US plains.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▲
Rice	▲	▲
Soybeans	■	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** 2017 production lowered slightly, reflecting downward revisions to Brazil and the Russian Federation more than offsetting increases to Argentina and Australia.

- Utilization in 2017/18 to reach an all-time high despite a small downward adjustment since the previous report.
- Trade in 2017/18 (July/June) revised down with lower shipments to India, Japan and Viet Nam more than offsetting higher import demand from Brazil and Indonesia.
- Stocks (ending in 2018) raised further since last month mostly on expectations of build-ups in non-AMIS countries.

WHEAT	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	1-Mar	est.	f'cast	est.	f'cast
		1-Feb			8-Feb		22-Feb
Production	759.8	757.6	757.0	750.4	758.3	753.9	757.1
Supply	986.3	1,005.7	1,006.7	992.0	1,010.9	978.1	997.4
Utilization	731.8	733.9	733.6	739.4	744.8	737.9	742.9
Trade	177.4	174.5	173.5	183.3	181.7	175.7	174.1
Stocks	249.7	269.8	272.7	252.6	266.1	240.2	254.5

in million tonnes

- **Maize** 2017 production lifted, driven by upward revisions to non-AMIS countries, particularly in Africa.
- Utilization in 2017/18 seen to expand by 3 percent from 2016/17, exceeding earlier expectations largely due to higher feed use in India and Viet Nam.
- Trade forecast for 2017/18 (July/June) lifted by 1.4 million tonnes since last month, supported by large exportable supplies, in particular from Brazil and the US.
- Stocks (ending in 2018) almost 5 million tonnes higher than projected in February and 10 million tonnes above their record opening level.

MAIZE	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	1-Mar	est.	f'cast	est.	f'cast
		1-Feb			8-Feb		22-Feb
Production	1,046.3	1,083.0	1,084.4	1,076.0	1,041.7	1,088.3	1,047.8
Supply	1,283.4	1,318.7	1,327.3	1,290.9	1,271.5	1,383.2	1,382.4
Utilization	1,038.7	1,065.9	1,069.3	1,061.2	1,068.4	1,048.6	1,068.3
Trade	139.9	143.0	144.4	162.1	153.9	138.0	147.7
Stocks	242.9	248.2	252.9	229.8	203.1	334.6	314.1

in million tonnes

- **Rice** production in 2017 raised marginally, following revisions to historical estimates for Cameroon, Iran and Venezuela as well as improved prospects for off-season output in Cambodia.
- Utilization in 2017/18 still forecast to expand by 1 percent on greater food intake.
- Trade in 2018 to contract by 3 percent, while still remaining the second highest on record due to firm demand in Asia and Africa.
- Stocks (ending in 2018) little varied m/m, with a build-up in China seen more than compensating for drawdowns in the major exporters.

RICE (milled)	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	1-Mar	est.	f'cast	est.	f'cast
		1-Feb			8-Feb		22-Feb
Production	500.9	501.9	502.2	486.8	484.3	487.2	483.8
Supply	668.1	670.3	670.3	619.4	621.6	610.2	606.9
Utilization	497.9	503.7	503.6	482.2	480.8	487.1	485.5
Trade	47.4	46.0	46.0	46.5	46.8	45.1	44.8
Stocks	168.7	170.0	170.4	137.2	140.8	123.1	121.5

in million tonnes

- **Soybean** 2017/18 production lowered marginally, with higher forecasts for Brazil offsetting much of the downward corrections in Argentina and other producers in South America.
- Utilization in 2017/18 slightly lowered, mainly reflecting reduced crushing forecasts for Argentina.
- Trade forecast for 2017/18 nearly unchanged. The export forecast for Brazil has been lifted at the expense of shipments from the US, while import forecasts for key buyers are virtually unchanged from last month.
- Stocks forecast (2017/18 carry-out) lifted somewhat, with upward revisions for the US outweighing downward corrections among South American producers, notably Argentina.

SOYBEANS	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	f'cast	1-Mar	est.	f'cast	est.	f'cast
		1-Feb			8-Feb		22-Feb
Production	348.7	346.3	345.2	351.3	346.9	349.9	347.0
Supply	393.1	398.0	396.9	429.2	443.1	383.0	392.8
Utilization	340.8	352.4	351.4	330.1	343.2	337.3	348.9
Trade	149.1	153.0	153.2	147.2	152.0	147.6	152.8
Stocks	51.7	47.0	47.3	96.1	98.1	45.8	44.1

in million tonnes



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-570	-1039	-256	-1030	2850	1457	1438	3365	1421	4734
Total AMIS	-362	-1439	-673	-1080	1115	-1982	2320	1452	1421	-2299
Argentina	500	-	-	700	-400	-	-	-500	-900	1500
Australia	974	-	-	-	338	-2	-	-2	-	-
Brazil	-876	300	174	-	-200	-	350	200	1000	-1000
Canada	-	-	100	-	100	-	-	250	-	-200
China Mainland	-	-	-	-	-	-	-	-	-	-
Egypt	-	-	-	-	608	-	-	-	-	-
EU	-	-	-	-500	500	-	-	200	-200	-
India	4	-1500	-1396	-	1000	-	-30	1300	20	-2894
Indonesia	-	800	850	-	150	-830	700	-1476	-	1000
Japan	114	-559	12	-	102	-	-	-	-	-
Kazakhstan	-	-	-	-	1	-	-	-	-	156
Mexico	-	-	-	-	-	-	500	500	-	1500
Nigeria	1	-	1	-	-	-	-	467	-	214
Philippines	-	-	-	-	-	-400	-	-507	-	-
Rep. of Korea	-	130	-	-	-	-	-	-	-	-
Russian Fed.	-900	-210	-	-	-1269	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	76	-	76	-	-
Thailand	-	-	-	-	-	-100	-	-300	-	200
Turkey	-	-	-	-	-443	-	-	-	-	-
Ukraine	-179	-	-	-	-116	-693	-	-	-	828
US	-	-	136	-1280	544	-	-	-	1550	-3175
Viet Nam	-	-400	-550	-	200	-33	800	1244	-49	-428

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	275	63	-64	0	360	-1056	60	-1009	179	345
Total AMIS	-11	50	-266	0	40	-149	20	-767	259	680
Argentina	-	-	-10	-20	25	-2500	0	-1300	-100	-700
Australia	-	-	-	-	-	0	-	0	0	0
Brazil	-	-	-	-	-	2121	-	271	1400	-250
Canada	-	-	-	-	-	0	-	0	0	0
China Mainland	-	-	-	-	-	0	0	-100	100	-
Egypt	-	-	-	-	-	0	-	0	-	-
EU	-20	30	35	20	-	0	-	0	-	-
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	0	-	0
Japan	-	-	-10	-	-	-	-	-	-	-
Kazakhstan	13	-	8	-	5	-	-	-	-	-
Mexico	-	-	50	-	10	0	0	0	-	0
Nigeria	-	-	-	-	-	120	20	131	9	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-	-	0	0	0	0	0
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-340	-	-	-	-	-	-	-
Turkey	-	20	-	-	-	-	0	0	-	0
Ukraine	-4	-	1	-	-	110	-	211	-50	-
US	-	-	-	-	-	0	-	20	-1100	1630
Viet Nam	-	-	-	-	-	0	0	0	-	0

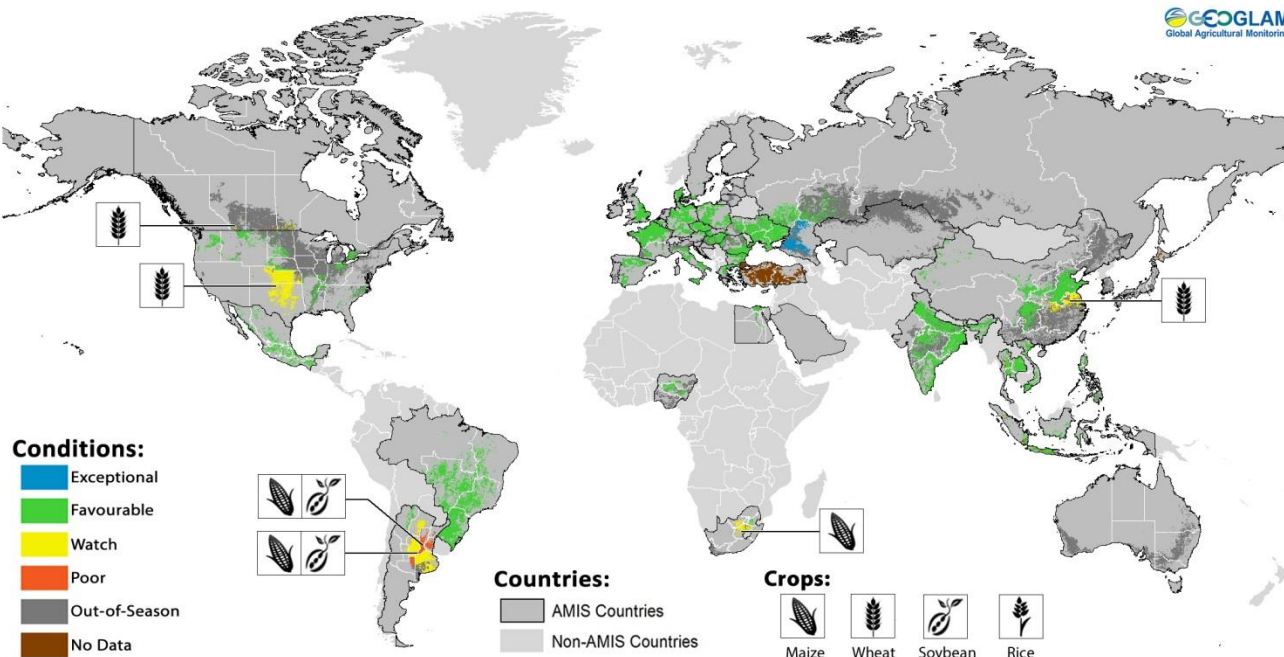


Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 26 February)

GEGLAM
Global Agricultural Monitoring



Crop condition map synthesizing information for all four AMIS crops as of 26 February. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, conditions are generally favourable as winter wheat begins to emerge from dormancy in southern areas. Dry conditions exist in parts of the US and Canada, while low temperatures affect the resumption of growth in parts of China.

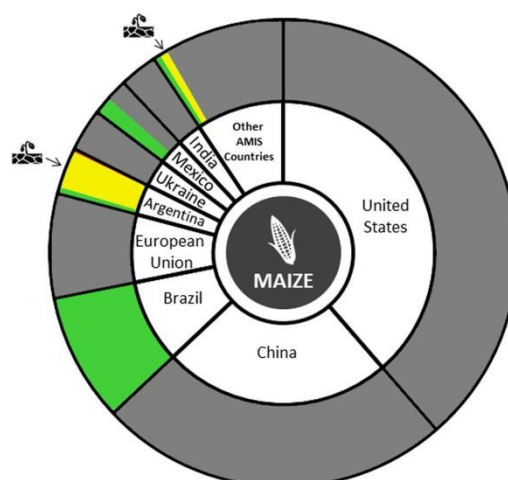
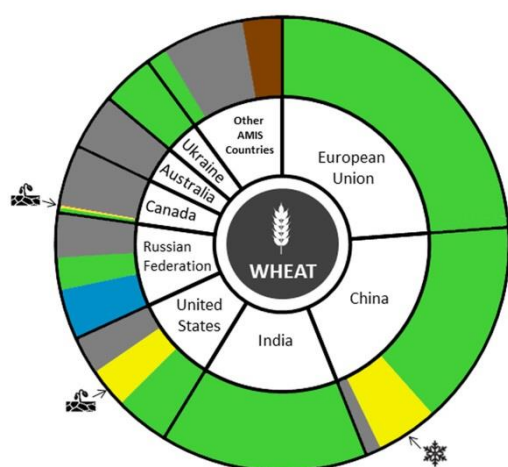
Maize - In the southern hemisphere, crop conditions are mixed due to increased dryness in Argentina, while there have been improvements in Brazil.

Rice – In India, the Rabi crop is favourable. In Southeast Asia, crop conditions remain favourable as dry-season rice advances in the northern countries while wet-season rice is well underway in Indonesia.

Soybean - In the southern hemisphere, crop conditions have improved in Brazil while conditions have deteriorated in Argentina due to hot and dry weather.

La Niña update

A La Niña Advisory has been in effect since November 2017, and the probability of persistence through March is about 60 percent, double the typical probability for that month of the year. Thereafter, La Niña conditions are expected to dissipate to a neutral state. Associated with the event, drier than normal conditions currently prevail in southwest Asia, southeastern South America, eastern China, and the southern US. Unusually for a La Niña event, areas of Southern Africa experienced an extended dry spell (late December until the beginning of February) in the heart of the season, though widespread abundant rain has come in recent weeks. Crops may not recover, however, and there are significant areas that did not receive the late rains. Though northern South America is frequently wetter than normal with La Niña, conditions in late 2017- early 2018 have been drier than average. As expected, wetter than normal conditions have been experienced in Central America and the Caribbean, and in Southeast Asia.



Wheat

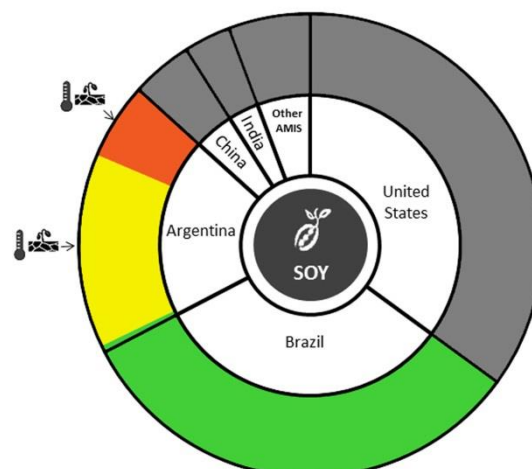
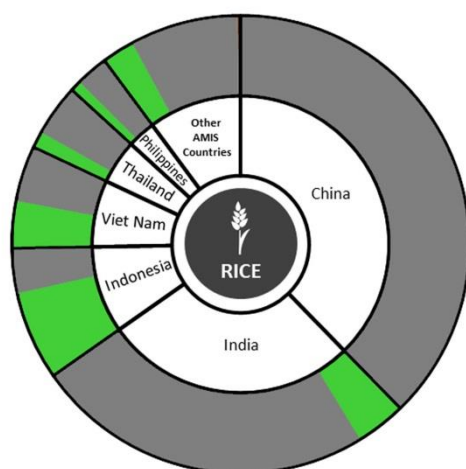
In the **EU**, conditions are generally favourable for winter wheat. In **Ukraine**, winter wheat conditions are favourable with majority of crops still in dormancy with the exception of some areas in the south that are breaking dormancy early due to a recent run of above-average temperatures. In the **Russian Federation**, conditions are favourable for winter wheat with warmer than usual temperatures in the south facilitating the break of dormancy and resumption of vegetative growth. In **China**, winter wheat conditions are generally favourable as vegetative growth has resumed in the south with some below average conditions in the northern Lower Yangtze region due to low temperatures. In **India**, conditions are favourable for Rabi wheat with a minor reduction in sown area compared to average. In the **US**, drought in the Southern Plains has been persistent throughout the winter. As the crop emerges from dormancy, conditions are under watch. It is still too early in the season to assess whether current conditions will ultimately impact the crop production. Winter wheat sown area is expected to be about the same as last year. In **Canada**, conditions are mixed for winter wheat with low snow pack and below normal winter temperatures potentially impacting spring emergence and leading to some winter kill in the southern prairies.

Maize

In **Brazil**, conditions for the spring-planted crop have recovered as recent rainfall in the south brought favourable conditions. Early harvest started with estimates in line with the five year average. Sowing of the summer-planted crop (larger) continues to advance in the main producing regions under favourable conditions. In **Argentina**, conditions deteriorated for both the early and late planted crops in the central and southern growing regions due to continued dryness. Sowing of the late crop in the north was delayed due to dryness and may impact final yields due to the shorter period between sowing and harvest. In **South Africa**, conditions are mixed as a result of hot and dry weather in the west at the start of the season, resulting in reduced sown area. Widespread rainfall has returned over the main cropping region, however concern still remains in the west. In **Mexico**, harvest of the spring-planted crop wraps up under favourable conditions with a higher production than last year. Sowing of the autumn-planted crop is progressing under favourable conditions.

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **India**, conditions are favourable for the Rabi crop which is in the transplanting and tilling stages and there is an increase in sown area compared to average. In **Indonesia**, sowing of the wet-season rice continues under favourable conditions and total sown area remains lower than normal due to uneven rainfall. Harvest of earlier sown wet-season rice continues with expected yields higher than last season. In **Viet Nam**, sowing of the winter-spring rice (dry season rice) continues in the south under favourable conditions. Sowing has begun in the north after a delayed start due to cold weather. In **Thailand**, dry-season rice is in the vegetative stage under favourable conditions with no negative effects from earlier cold weather. In **the Philippines**, conditions are generally favourable for dry-season rice. Multiple weather systems affected the country over the past month, resulting in some minor crop damage in southern growing areas.

Soybeans

In **Brazil**, majority of the crop is in the vegetative to reproductive stage under favourable conditions with recent rainfall in the south improving conditions. Harvest begun with initial numbers confirming good production expectations. In **Argentina**, conditions continued to deteriorate due to poor soil moisture and high temperatures for both the spring-planted crop (larger) and the summer-planted crops. While conditions are extremely variable across the central and southern growing regions, possible recovery will depend on future weather conditions. Final sown area of the summer-planted crop was reduced due to lack of soil moisture in some growing regions.

Information on crop conditions in non-AMIS countries

can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 5 March 2018

Policy developments

Wheat

- On 26 February, **China's** General Administration for Quality Supervision and Inspection and Quarantine (GAQSIQ) lifted a ban that was imposed in 2016 on wheat imports from six regions of the Russia Federation.
- On 2 February, **Egypt's** General Authority for Supply Commodities (GASC) amended regulations to establish a cap on demurrage fees at USD 12 000 per day for a maximum of 12 days. In addition, sieving fees were increased from USD 2 to USD 3 per tonne.
- On 2 February, **Egypt** relaxed the protein content requirements on wheat imports from key trading partners. The minimum protein content requirement was reduced from 12 to 11.5 percent for Russian, Romanian and Ukrainian wheat; from 11.5 to 11 percent for French wheat and US soft wheat; and from 12.5 to 12 percent for US hard red wheat.
- On 15 February, **India** fixed the wheat procurement target at 32 million tonnes for the 2018/19 marketing year starting in April.

Maize

- On account of tighter controls on processing GMOs, some Chinese importers have cancelled US maize cargoes, reportedly affecting about 210 000 tonnes of maize imports.

Rice

- The minimum purchase price of paddy rice in **China** was cut by 7-13 percent in order to reduce domestic stocks. Prices for 2018 were set at CNY 2 400 (USD 381) per tonne for early season indica rice; at CNY 2 520 (USD 399) per tonne for mid-to-late season rice; and at CNY 2 600 (USD 412) per tonne for japonica rice.
- On 15 February, **India** fixed the paddy rice procurement at 5.5 million tonnes for the Rabi crop in the Kharif marketing season 2017/18.

Soybeans

- On 27 February, the **US** Department of Agriculture issued guidelines for US growers and shippers to minimize weed seed content in US soybean exports.

Biofuels

- On 2 February, **Indonesia** filed a case at the US Court of International Trade against US countervailing duties on biodiesel. The move was taken after the US announced final countervailing duties ranging from 34.45 to 64.73 percent on

biodiesel imports from Indonesia (see Market Monitor February 2018).

- On 9 February, the **US** Congress retroactively extended a USD 1 per gallon biodiesel tax credit to the US biofuel industry for 2017. This support, however, was not extended into 2018.
- On 21 February, the **US** Department of Commerce issued final anti-dumping duty determinations on biodiesel expanding the duty range to 60.44-86.41 percent for imports from Argentina imports; and to 92.52-276.65 percent for imports from Indonesia. The US International Trade Commission is expected to issue a final ruling on 6 April 2018.

Across the board

- On 1 February, as part of **India's** objective to double farmers' income by 2022, the Ministry of Finance announced that minimum support prices for all unannounced Kharif crops would be maintained at least at 150 percent of production costs. Institutional credit for agriculture was also increased to INR 11 Lakh Crore (USD 169.16 million) for 2018/19 from INR 10 Lakh Crore (USD 153.78 million) in 2017/18.
- On 6 February, the **Republic of Korea** launched a new Agricultural Development Plan (2018-2022), which aims to strengthen income safety nets (e.g., reforms in direct payment schemes, expansion of crop insurance, etc.); promote innovation (digitalisation and generation of renewable energy); enhance food safety and improve rural welfare. In particular, the Plan involves a reduction of paddy rice cultivated areas by 100 000 ha in 2018/19 as well as gradual decoupling of direct payments to rice farmers.
- On 8 February, **Ukraine** announced the roll out of crop receipts as a financial instrument to expand access to credits for smallholder farmers, whereby farmers could purchase high-quality seeds and other essential inputs using future harvests as collateral.

STOP PRESS

- On 31 January, the **EU** launched a countervailing duty investigation into imports of biodiesel from Argentina (Official Journal Reference 2018/C 34/11).
- On 1 January, **Turkey** lowered import tariffs on four varieties of wheat from 130 to 45 percent. The measure remains in place until 1 April 2018.
- On 31 January, the **US** Department of Agriculture launched Market Analysis and Reporting Services (MARS) that aim to provide market price data to better support competitive markets for producers and to stabilize domestic food prices.



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Feb 2018 Average*	% Change	
		M/M	Y/Y
GOI	200	+3.2%	+2.4
Wheat	179	+2.1%	+6.9%
Maize	185	+6.3%	+1.4%
Rice	172	+0.1%	+14.1%
Soybeans	197	+3.8%	-2.6%

*Jan 2000=100, derived from daily export quotations

Wheat

Global export quotations mostly rose during February, underpinned by concerns about 2018/19 crops in some areas, particularly for winter wheat in the US. Market sentiment in the major exporters was often influenced by currency movements and the impact on relative export competitiveness. Amid tight logistical capacity, firmer export premiums contributed to price gains at the US Gulf. Winter-related logistical problems buoyed export values in Russia Federation, although the overall pace of shipments stayed strong. Competition from Black Sea sellers and Argentina continued to weigh on exporters' sentiment in the EU and Australia. Since the January report, the IGC GOI wheat sub-Index strengthened by a net 2.1 percent.

Maize

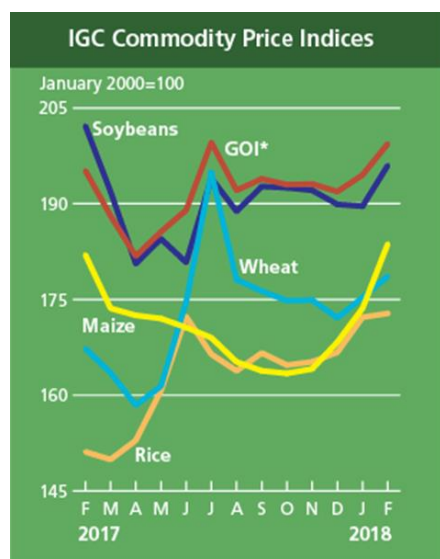
With strong gains noted across all origins, the IGC GOI maize sub-Index gained 6.3 percent to a one-year peak. Spot prices in Argentina were especially firm, as farmers delayed sales amid deepening worries about the drought. Advances in US quotations were mainly linked to buoyant exports, with Gulf supplies priced at a wider discount to South America and the Black Sea region. Old crop values in Ukraine drew support from an uptick in overseas buying interest, including from China, as well as movements in currencies.

Rice

Despite signs of slowing buying interest, the IGC GOI rice sub-Index edged higher in February as earlier big purchases by Asian importers and tightening old crop supplies in leading exporters provided support. However, price movements were mixed, with declines in Thailand contrasting with modest gains at other origins, including India, where government procurements underpinned. More recently, there was pressure from news that Bangladesh and the Philippines had either cancelled or deferred plans to secure rice, while the Lunar New Year Celebrations ensured activity was largely muted. In the US, milled values remained elevated on tightening inventories after last year's disappointing harvest.

Soybeans

The IGC GOI soybean sub-index advanced by 3.8 percent in February, to its highest in 12 months, with gains recorded at all major origins. Market sentiment was mainly buoyed by heightened concerns about the impact of continued hot, dry weather on developing crops in core growing areas of Argentina, with associated gains in soybean meal values also influential. And with weather-related delays to harvesting in parts of Brazil supportive at times, this more than offset underlying pressure from prospects for ample world supplies.



*GOI: Grains and Oilseeds Index

IGC commodity price indices					
	GOI*	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100)					
2017 February	195.2	167.3	182.0	151.1	202.2
March	188.1	163.5	173.6	149.9	191.9
April	181.8	158.4	172.5	152.9	180.6
May	185.6	161.4	172.0	160.7	184.5
June	189.0	174.6	170.6	172.3	180.8
July	199.6	194.9	169.0	166.4	194.0
August	192.1	178.1	165.2	163.8	188.8
September	193.9	176.3	163.8	166.6	192.7
October	193.0	174.8	163.4	164.7	192.5
November	193.1	174.9	164.1	165.2	192.1
December	191.9	172.1	168.3	166.7	189.9
2018 January	194.5	175.3	173.6	172.2	189.6
February	199.9	178.9	184.5	172.5	196.8

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2016-2018)



Daily quotations of selected export prices

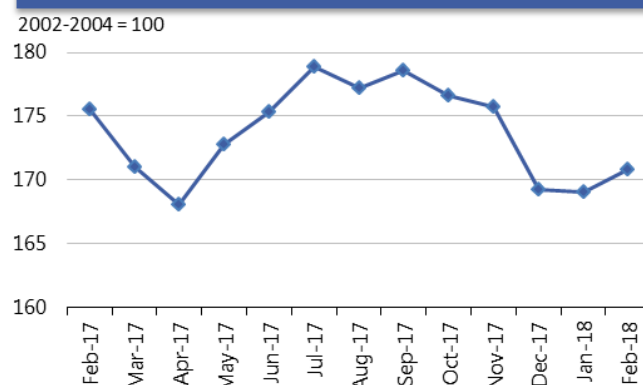
	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	28-Feb	255	237	234	206	7.6%	23.8%
Maize (US No. 2, Yellow)	28-Feb	172	164	159	163	4.4%	5.5%
Rice (Thai 100% B)	28-Feb	404	409	443	363	-1.2%	11.3%
Soybeans (US No.2, Yellow)	28-Feb	407	398	381	398	2.3%	2.3%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	February 2018 Average	Monthly Change	Annual Change
Argentina	ARS	19.8	-4.3%	-27.3%
Australia	AUD	1.3	-0.9%	2.6%
Brazil	BRL	3.2	-1.1%	-4.7%
Canada	CAD	1.3	-1.1%	4.1%
China	CNY	6.3	1.7%	8.0%
Egypt	EGP	17.6	0.2%	-4.3%
EU	EUR	0.8	1.3%	13.8%
India	INR	64.4	-1.2%	3.8%
Indonesia	IDR	13,590.8	-1.5%	-1.9%
Japan	JPY	107.9	2.8%	4.5%
Kazakhstan	KZT	321.9	1.5%	-0.8%
Rep. Korea	KRW	1,078.0	-1.1%	5.5%
Mexico	MXN	18.6	1.6%	8.0%
Nigeria	NGN	306.5	-0.1%	-0.4%
Philippines	PHP	51.9	-2.7%	-3.8%
Russian Fed.	RUB	56.9	-0.3%	2.6%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	11.8	3.0%	10.3%
Thailand	THB	31.5	1.4%	10.1%
Turkey	TRY	3.8	-0.3%	-3.3%
UK	GBP	0.7	1.2%	10.6%
Ukraine	UAH	27.1	4.6%	-0.2%
Viet Nam	VND	22,705.6	0.0%	0.0%

FAO Food Price Index

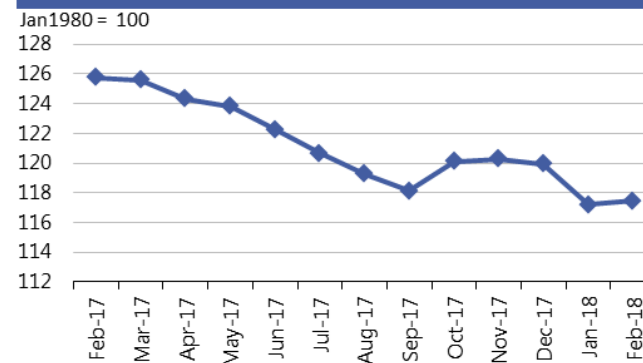
Feb2017-Feb2018



Source: FAO

Nominal Broad Dollar Index

Feb2017-Feb2018



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Feb-18 Average	% Change	
		M/M	Y/Y
Wheat	167	+5.0%	+3.8%
Maize	144	+3.6%	-1.1%
Rice	269	+2.1%	+29.2%
Soybeans	371	+3.8%	-2.7%

Source: CME

Future Prices

Prices for wheat, maize and soybeans were higher m/m by 5, 3.6 and 3.8 percent respectively, with all three posting multi-month highs. Continued deterioration of US winter wheat crop conditions, particularly in Kansas (the largest US wheat producing state) and abnormally hot and dry weather in Argentina's maize and soybean growing regions served to boost values. Improved overall US export sales of maize, soaring soybean meal prices and rain delays in Brazil's soybean harvest were also price supportive, even as forecasts for a record soybean crop emerged from Brazil. In exogenous markets, US equity markets experienced a precipitous drop and brief spike in volatility, which spilled into several commodity markets to varying degrees. The US Dollar Index (composed of six major currencies) remained on average at a three-year low, however, and tended to underpin stronger agricultural markets. On a y/y basis, wheat prices were 3.8 percent higher while maize and soybean prices were 1.1 and 2.7 percent lower, respectively. Rice prices were higher m/m and y/y by 2.1 and 29.2 percent respectively as US supplies remained tight.

Volumes and volatility

Trade volumes rose by about 76 percent in wheat and maize m/m, and by 62 percent in soybeans, while volumes y/y increased between 23 and 25 percent for all three commodities. The jump in volume coincided with a small rise in implied volatility which had declined incrementally for the previous five months for all three commodities. Historical volatility displayed small changes m/m, falling for wheat and maize and rising for soybeans, while remaining lower y/y for all three commodities.

Basis levels and transport

Domestic basis levels for maize and soybeans appeared steady from last month. In Illinois, the interior bids to local elevators were quoted minus USD 8 (per tonne) for maize and minus USD 13 for soybeans, both under the respective March futures prices. In Iowa, the bids were similarly steady at minus USD 14.5 for maize and minus USD 28 for soybeans (under the respective March futures). Domestic soft red wheat values were steady to higher, quoted at a premium to the March futures price for delivery to some locations. Gulf export delivery basis levels were mostly higher, led by maize - quoted at

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Feb-18	Jan-18	Feb-17
Wheat	22.5	22.9	23.9
Maize	10.1	12.6	15.8
Rice	18.2	20.8	19.3
Soybeans	12.9	11.7	19.2

USD 22 per tonne. Soft red wheat values were quoted in a wide bid and ask range averaging around USD 24 per tonne. Soybean levels were steady at USD 15 per tonne. Barge freight eased slightly to USD 19 per tonne, but maintained a level above the three year average freight rate for the third successive month (lower Illinois River quotations). In the export market, with the exception of maize export commitments (unshipped balances), which surpassed last year's levels for the same time period, other cumulative exports and export commitments continued to lag behind last year's pace.

Forward curves

Forward curves for wheat and maize changed slightly as prices rose to multi-month highs – tightening somewhat in maize while relaxing in wheat. Soybean curves saw a dramatic move in the old crop/new crop spread (July 2018 minus November 2018) moving from a completely "flat" configuration (deemed "even money") to USD 11 inverse since the beginning of the month. Traders remained focused on Argentina's shrinking soybean crop while seeming to dismiss the vast improvements to Brazil's northern port terminals and their competitive advantage gains over the US.

Investment flows

Managed money considerably reduced or, in the case of maize and soybeans, reversed its sizable bearish strategy. Fund managers, which had maintained net short positions since August 2017 in wheat and maize, decreased their net short positions by 17 000 and 107 000 contracts, respectively (2.3 and 13.6 million tonnes) during the second and third weeks of February, ending up with a medium-sized net short position in wheat and a small net long position in maize. In soybeans, they net bought 106 000 contracts (14.4 million tonnes) to establish a sizable long position, executing their seventh directional switch between long and short strategies in a year. Commercials took the opposite strategy by increasing their net short positions in all three commodities.



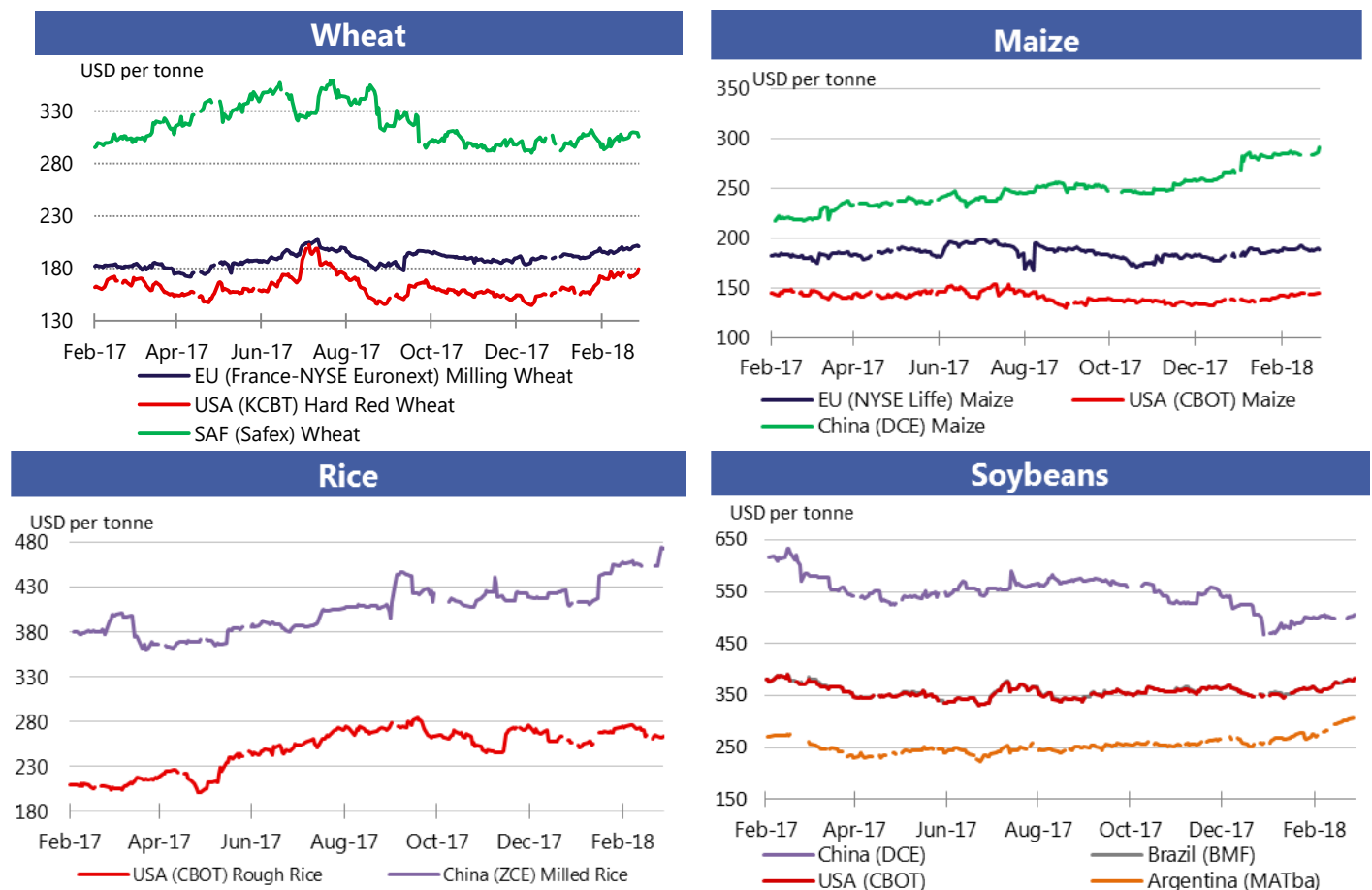
Glossary

For more information on technical terms please view the Glossary at the following link:

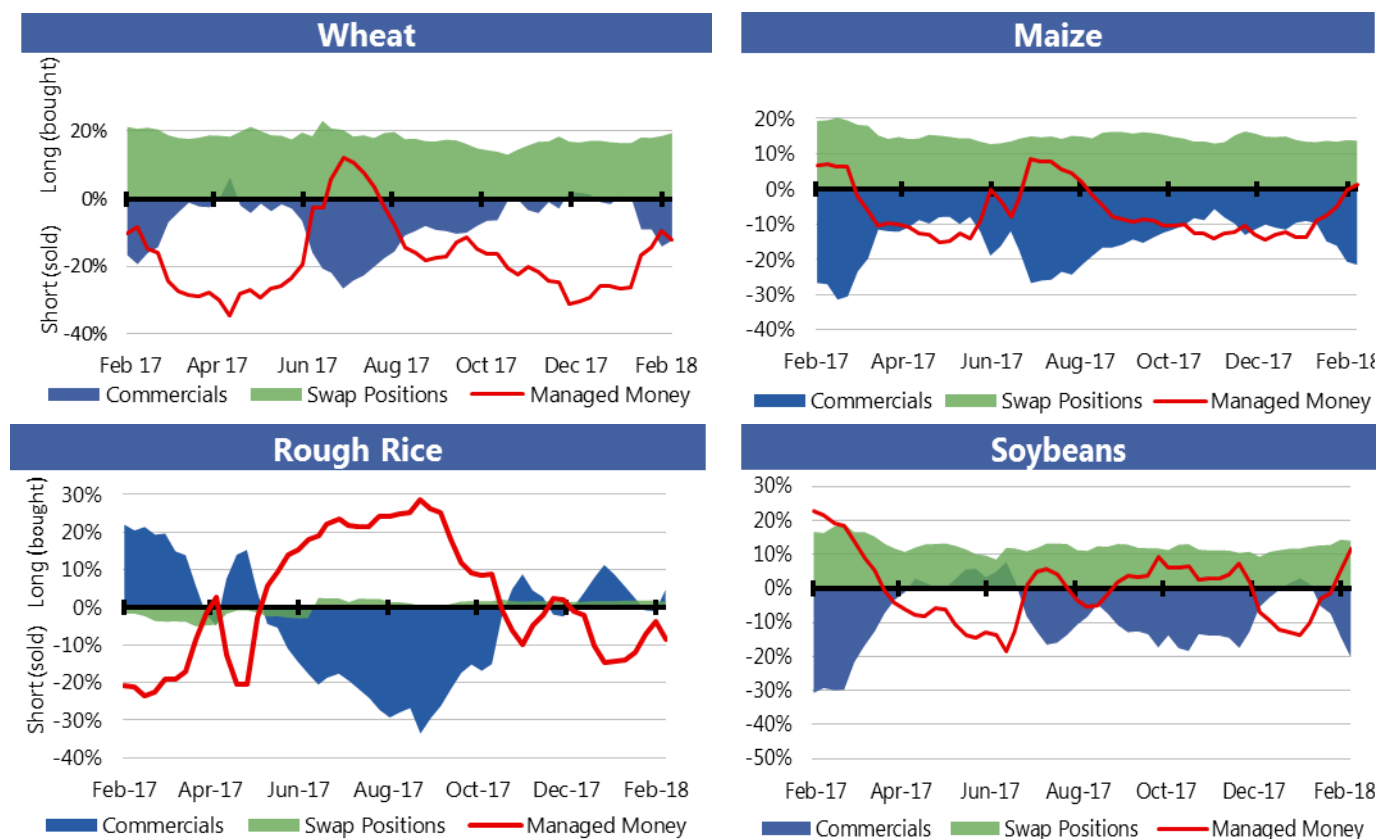
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

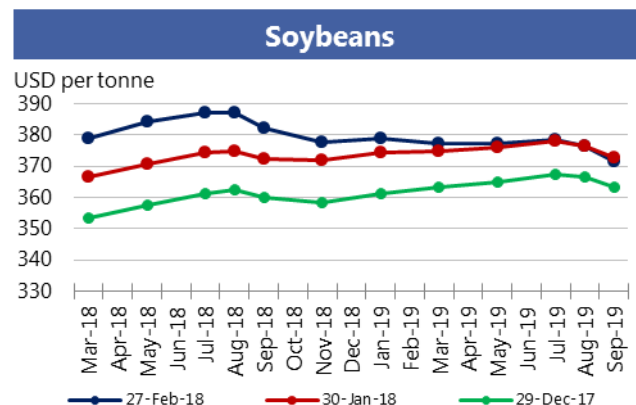
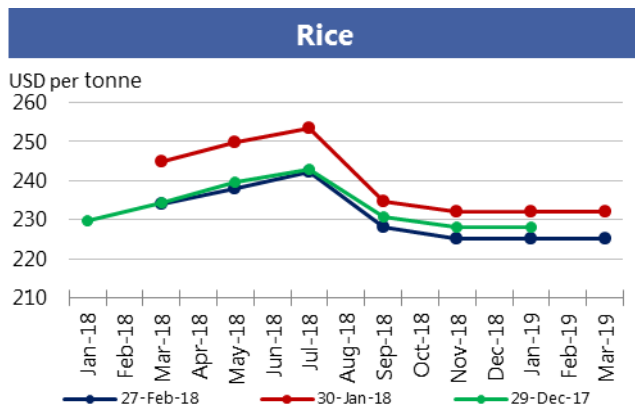
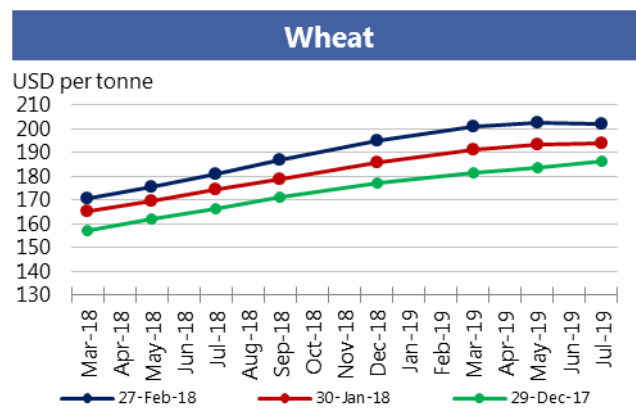
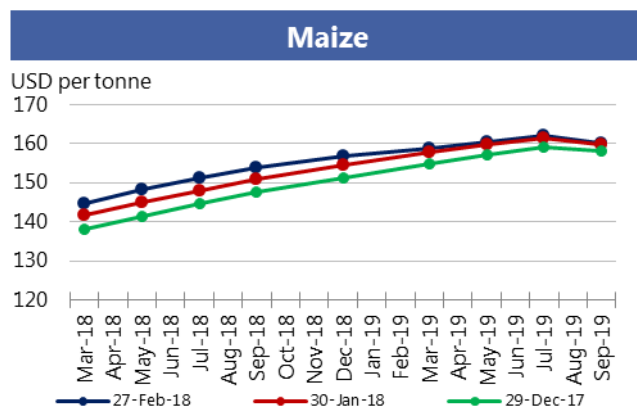


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

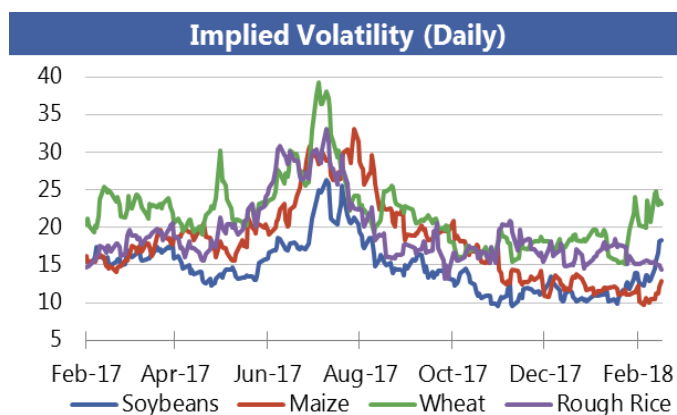
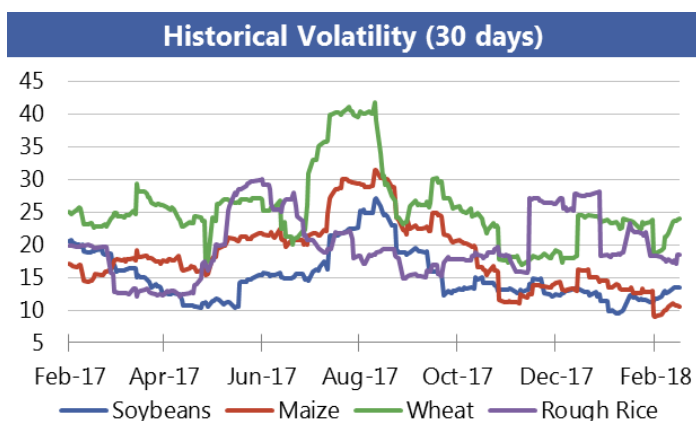


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Monthly US ethanol update

- The **ratio** of nearby ethanol futures to RBOB gasoline went up to 81 percent. RBOB gasoline futures declined while ethanol futures climbed, lowering ethanol's discount to gasoline.
- Ethanol spot** and **nearby futures prices** slightly increased in February. RBOB gasoline prices saw a decline after relatively high levels in January, supported by declining crude oil prices. Ethanol futures prices in February averaged 34 cents lower than gasoline future prices.
- Maize prices** moved slightly higher in February, after trading in a fairly narrow range over recent months.
- Ethanol margins**, although still in a near-zero condition, have slightly improved from last month supported by a small increase in the price of DDGs.
- DDGs prices** have risen relative to maize in recent weeks, as export demand for US distillers dried grains remains robust.
- Ethanol production** fell slightly during the first half of February, representing an annualized production pace of 16.1 billion gallons. Although below last month's level, production is still above last year and well above the annual mandate. Production remains high on growing domestic gasoline consumption and strong ethanol export demand.

Spot prices	Feb	Jan	Feb
IA, NE and IL/eastern corn belt average	2018*	2018	2017
Maize price (USD per tonne)	135.60	130.01	136.56
DDGs (USD per tonne)	150.04	146.71	99.31
Ethanol price (USD per gallon)	1.35	1.27	1.43

Nearby futures prices	Feb	Jan	Feb
CME, NYSE	2018*	2018	2017
Ethanol (USD per gallon)	1.45	1.34	1.53
RBOB Gasoline (USD per gallon)	1.79	1.86	1.54
Ethanol/RBOB price ratio	81.2%	72.1%	99.5%

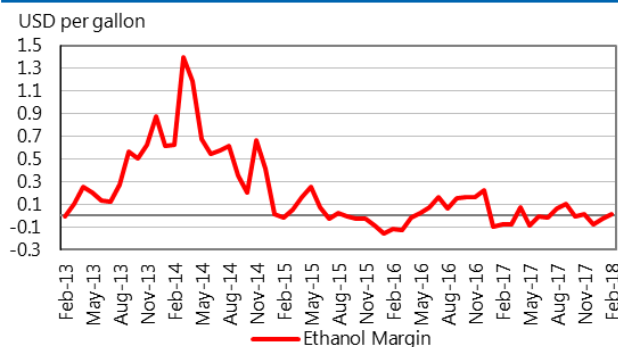
Ethanol margins	Feb	Jan	Feb
IA, NE and IL/eastern corn belt Average (USD per gallon)	2018*	2018	2017
Ethanol receipts	1.35	1.27	1.43
DDGs receipts	0.46	0.45	0.31
Maize costs	1.25	1.20	1.26
Other costs	0.55	0.55	0.55
Production margin	0.01	-0.03	-0.08

Ethanol production	Feb	Jan	Feb
(million gallons)	2018*	2018	2017
Monthly production total	1 237	1 372	1 207
Annualized production pace	16 130	16 153	15 739

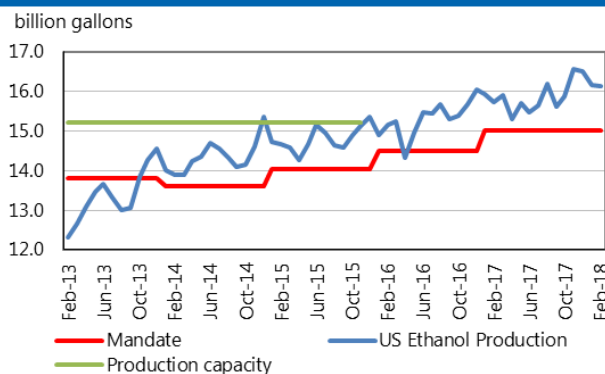
Based on USDA data and private sources

* Estimated using available weekly data to date.

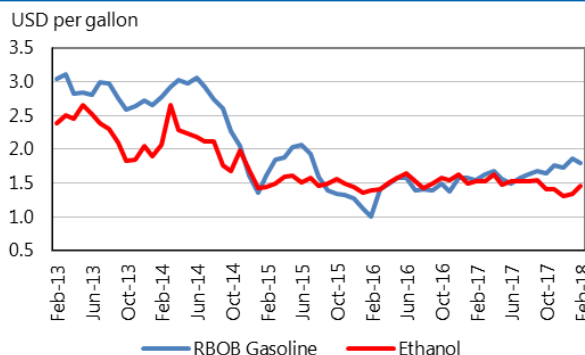
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol production pace, capacity and annual mandate



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol price vs. maize price
(Spot prices)

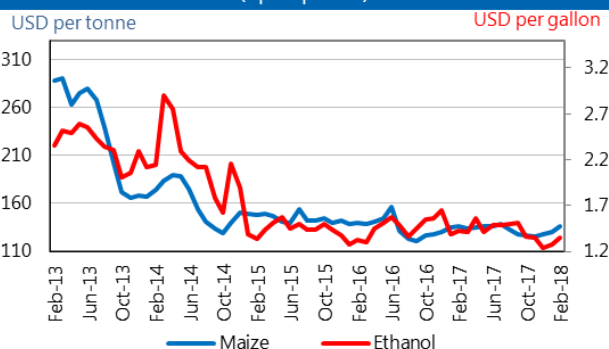


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

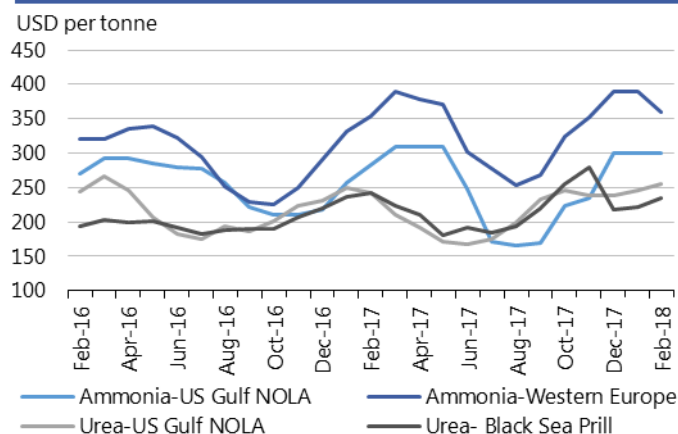
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

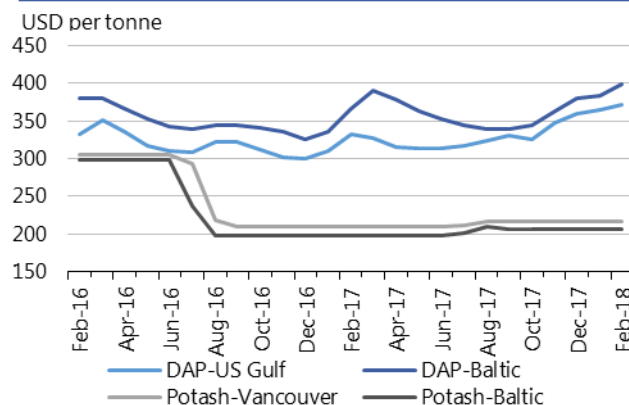
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

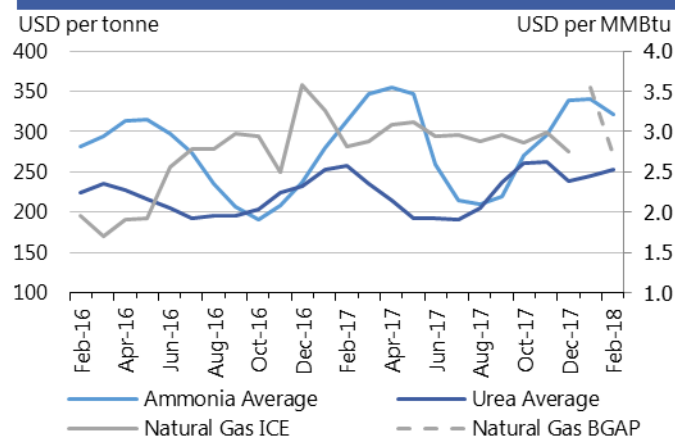
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- Lower costs of transport and inputs have exerted downward pressure to **ammonia** prices.
- **Urea** prices increased mostly on a restriction in Chinese exports, despite higher supplies from the Persian Gulf.
- **DAP** prices increased due to steady US demand and new contracts originating in Latin America.
- **Potash** prices remained unchanged due to low demand stemming from dry weather in the US Wheat Belt.
- **Natural gas** prices dropped due to excess inventory, despite the high heating demand in the northern hemisphere.

Region	February average	February std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	300.0	-	0.0%	5.8%	310.0	165.0
Ammonia-Western Europe	360.0	-	-7.7%	1.8%	390.0	254.0
Urea-US Gulf	254.7	0.6	3.8%	5.1%	254.7	166.8
Urea-Black Sea	235.0	-	5.6%	-2.8%	280.0	181.3
DAP-US Gulf	372.3	6.4	2.3%	12.2%	372.3	313.0
DAP-Baltic	398.3	2.9	3.8%	8.8%	398.0	339.0
Potash-Baltic	206.0	-	0.0%	4.0%	209.0	198.0
Potash-Vancouver	216.0	-	0.0%	3.3%	216.0	209.0
Ammonia	321.7	10.1	-5.7%	2.8%	355.6	210.0
Urea	252.3	1.4	3.1%	-2.1%	263.3	192.0
Natural Gas*	2.7	0.2	-23.8%	-7.5%	3.5	2.7

All prices shown are in US dollars.

*Natural Gas is a new Henry Hub Index (BGAP), replacing the one used before since it has been discontinued.

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers.

DAP: Diammonium Phosphate.

Monthly ocean freight market update

Dry bulk freight market developments

	Feb 2018 Average*	M/M	% Change	Y/Y
Baltic Dry Index (BDI) *	1105	- 11.1%		+ 45.4%
<i>sub-Indices:</i>				
Capesize	1639	- 21.0%		+ 90.8%
Panamax	1296	- 6.8%		+ 38.8%
Supramax	843	- 6.3%		+ 17.3%
Handysize	527	-10.0%		+ 33.5%

Source: Baltic Exchange. * 4 January 1985 = 1000

- Dry bulk freight rates were typically volatile in February, as choppy trading ahead of Asian New Year holidays triggered two-sided movements in the **Baltic Dry Index (BDI)**. Pressured by losses across all constituent segments, average BDI values declined by 11 percent m/m, but remained much higher than a year ago.
- Average **Capesize** rates slipped by about one-fifth, weighed by discounting at some origins as holidays in Asia approached, albeit some occasional support stemmed from upturns in mineral demand in the Atlantic and improvements on the Australia/China route.
- Earnings in the grains and oilseeds carrying segments also posted moderate losses. The **Panamax** market initially found support from sustained activity at the US Gulf, South America and the North Pacific, but rates slid in the first half of February on softer grains business at major origins and heavier tonnage supply in the Atlantic. Losses were partly reversed in recent days, as trading at the US Gulf picked up again.
- **Supramax** and **Handysize** Baltic sub-Indices dropped by 6 percent and 10 percent, respectively. Declines were mainly tied to a sluggish tone in the EU and the Baltic, barring scrap dispatches, with logistics at ports in the latter area impacted by icy conditions. However, fresh business at the US Gulf offered support.

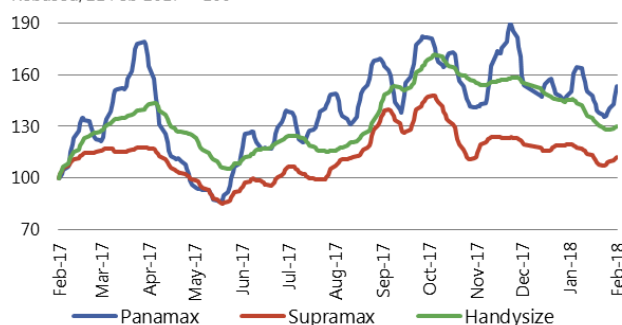
Baltic Dry Index

Rebased, 21 Feb 2017 = 100

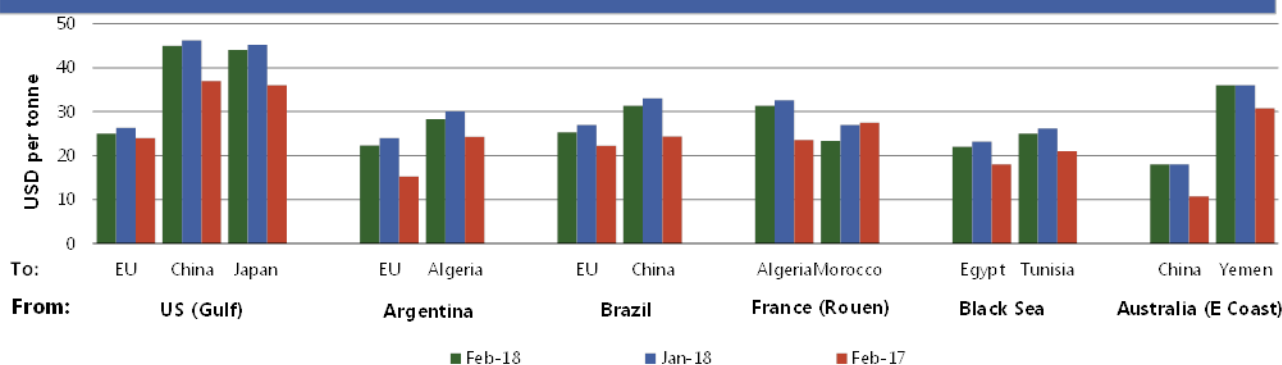


BDI - Grains and oilseeds carrying sectors

Rebased, 21 Feb 2017 = 100



Average nominal freight rates on selected grains and oilseeds routes



Source: International Grains Council.

Notes:

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize.

Capesize: The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **“World Supply and Demand”** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **“FAO-AMIS”**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
	spring												
China (17%)	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2018 AMIS Market Monitor Release Dates

February 1, March 1, April 5, May 3, June 7, July 5, September 6, October 4, November 1, December 6

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